Filed: 2024-CA-0320 10/21/2024
Kate R. Morgan, Clerk
Kentucky Court of Appeals

COMMONWEALTH OF KENTUCKY
COURT OF APPEALS
NO. 2024-CA-0320-MR

ANN PINSKI, D.P.M. — APPELLANT

v.

APPEAL FROM JEFFERSON CIRCUIT COURT
HONORABLE MELISSA L. BELLOWS, JUDGE
ACTION NO. 12-CI-005582

SHARON LEVINE, Individually and in her capacity as Executor of the Estate of Robert G. Levine — APPELLEE

BRIEF OF APPELLEE

PAUL HERSHBERG (Ky. Bar No. 86660)
PAUL HERSHBERG LAW, PLLC
Kaden Tower, Suite 1100
6100 Dutchmans Lane
Louisville, Kentucky 40205
Telephone: (502) 736-7040
Facsimile: (502) 736-7510
Email: paul@hershberglaw.com
Counsel for Appellee Sharon Levine, Individually and in her capacity as Executor of the Estate of Robert G. Levine

CERTIFICATE

I hereby certify that on October 21, 2024, a copy of the foregoing was served: by email on C. Thomas Hectus, 100 Mallard Creek Road, Suite 400, Louisville, Kentucky, 40207, cthectus@hectuslawoffices.com; and by U.S. Mail, postage prepaid, on the Honorable Melissa Logan Bellows, Jefferson Circuit Court, Division 7, 700 W. Jefferson Street, Louisville, Kentucky, 40202. It is further certified that the record on appeal was not withdrawn.

/s/ Paul Hershberg
PAUL HERSHBERG

000001 of 000022

Filed

INTRODUCTION

The Jefferson Circuit Court determined that Appellee Sharon Levine, as the Executor off the Estate of Robert G. Levine, was the prevailing party in this breach-of-contract dispute. That decision on the merits is currently the subject of a separate appeal before this Court – case 2023-CA-1177. This appeal emanates from the Circuit Court's subsequent grant of attorney fees to Mrs. Levine, based on the Circuit Court's determination that she was the prevailing party and thus entitled to recover her fees under the operative agreement. Mrs. Levine submits that the Trial Court correctly exercised jurisdiction, and correctly awarded her the reasonable fees that had been demonstrably billed and paid during the extended underlying litigation, in which she prevailed. The judgment should be affirmed.

STATEMENT CONCERNING ORAL ARGUMENT

Appellee and her counsel believe do not believe that oral argument is necessary to resolve this matter. Should the Court desire oral argument, however, the undersigned will assuredly participate.

A

000002 of 000022

2410/2/2024 Lisa Marie R. Morgan, Clerk, Kentucky Court of Appeals

Filed

COUNTERSTATEMENT OF POINTS AND AUTHORITIES

INTRODUCTION i

STATEMENT CONCERNING ORAL ARGUMENT i

COUNTERSTATEMENT OF THE CASE 1

A. The Initial Lawsuit Proceeds Slowly, On Account of Dr. Levine's Failing Health 2

B. Dr. Pinski Files a Claim Against the Estate of Dr. Levine for $143,125.00, and After the Claim is Denied, Revives the Lawsuit Against Dr. Levine's Estate, Asserting a Variety of Tort Claims 2

C. The Revived Lawsuit is Transferred by Agreement to the Original Trial Court, Which Grants Partial Summary Judgment to the Estate 3

D. The Parties Proceed to a Bench Trial on Dr. Pinski's Contract Claims, Reserving the Issue of Prevailing Party Attorney Fees for Post-Trial Adjudication 3

E. The Trial Court Enters Judgment in the Estate's Favor on the Underlying Contract Claim, Finding that Dr. Pinski Breached the Agreement and Should Therefore Take Nothing 8

CR 54.02 9

F. Dr. Pinski Immediately Appeals the Trial Court's Judgment, Before The Trial Court Addresses Attorney Fees 9

G. The Trial Court Addresses and Grant's the Estate's Motion for Attorney Fees 10

ARGUMENT 11

I. DR. PINSKI'S APPEAL OF THE TRIAL COURT'S MERITS DECISION DID NOT DEPRIVE THE COURT OF JURISDICTION TO CONSIDER THE ANCILLARY ISSUE OF AN ATTORNEY FEE AWARD 12

Ky. Farm Bureau Mut. Ins. Co. v. Gearhart, 853 S.W.2d 907 (Ky. App. 1993) 12

CR 73.02 12

Louisville-Jefferson County Metro Gov't v. Brooks, 2013 WL 4512649 (Ky. App. Aug. 23, 2013) (rev. denied 2014) 12

2410-0-13024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

A

000003 of 000022

Filed

CR 52 12
CR 59 12

II. THE TRIAL COURT CORRECTLY RECOGNIZED THAT THE ESTATE WAS THE PREVAILING PARTY BELOW 13
CR 52.04 13
CR 54 13
CR 59 14

III. THE ESTATE PROPERLY PROVED THE REASONABLE FEE EXPENDITURES MADE BY DR. LEVINE AND BY THE ESTATE THROUGHOUT THE COURSE OF THE ORIGINAL AND REVIVED LAWSUITS 14
Haney v. Stykes, 688 S.W.3d 561 (Ky. App. 2023) (rev. denied 2024) 14
Miller v. McGinty, 234 S.W.3d 371 (Ky. App. 2007) 14
Goodyear Tire and Rubber Co. v. Thompson, 11 S.W.3d 575 (Ky. 2000) 14
Meyers v. Chapman Printing Co., Inc., 840 S.W.2d 814 (Ky. 1992) 15
Collins v. Braden, 384 S.W.3d 154 (Ky. 2012) 15
Mo-Jack Distrib., LLC v. Tamarak Snacks, LLC, 476 S.W.3d 900 (Ky. App. 2015) 15
Schnatter v. 247 Group, LLC, 2024 WL 3165319 (W.D. Ky. June 25, 2024) 16

IV. DR. PINSKI'S REMAINING OBJECTIONS ARE WITHOUT MERIT OR NOT PROPERLY PART OF THIS APPEAL 16

CONCLUSION 17

APPENDIX

A

000004 of 000022

2410-CA-13004 10/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

Filed

COUNTERSTATEMENT OF THE CASE

This matter involves the dissolution of a business partnership between Appellant, Ann K. Pinski ("Dr. Pinski"), and Robert G. Levine ("Dr. Levine"). On March 2, 2012, Dr. Pinski and Dr. Levine, who had practiced together for decades, entered into a Stock Purchase, Separation, and General Release Agreement ("the Agreement"), by which Dr. Levine purchased Dr. Pinski's one-half ownership interest in Podiatric Physicians of Kentucky, Inc. ("PPK") for the sum of $205,000.[1] Each of the parties to the Agreement was represented by counsel, and the Agreement contained a variety of standard and negotiated terms. One of the warranties from Dr. Pinski was to the effect that as of March 2, 2012, she was owed no payments of any sort by either the practice or Dr. Levine – aside from the $205,000 purchase price/consideration due in consideration of her shares.

The Agreement also contained a fee-shifting provision, Section 17, stating that in the event of any dispute or litigation, the prevailing party would be entitled to recover attorney fees:

> 17. ATTORNEYS' FEES. PPK and Pinski shall each bear their own costs, including attorneys' fees, with respect to this Agreement. In the event of any litigation under this Agreement, whether at trial or on appeal, the prevailing party shall be entitled to recover the reasonable costs of enforcing its or his right hereunder, including reasonable attorneys' fees and court costs.
>
> TR 74.

[1] TR 66-77. There are two records on appeal in this matter – for the primary action (No. 12-CI-05582), and for the revived action (No. 18-CI-001756), which was later consolidated by agreement with the primary action. Unless otherwise specified, citations are to the record in the primary action (No. 12-CI-05582).

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000005 of 000022

Filed

Dr. Levine made the initial and largest installment payment at the March 2, 2012 closing, as the Agreement contemplated. On March 5, 2012, however, the business day immediately following the Friday closing, Dr. Pinski deposited no fewer than four checks, each of which she had surreptitiously written to herself from PPK's account in the months preceding the closing, and none of which she had disclosed to Dr. Levine before the closing. When Dr. Levine learned of these deposits, which directly contravened the warranties of the Agreement, he deducted $21,500 from the next payment otherwise due to Dr. Pinski. This lawsuit followed. TR 1-6; Complaint filed October 19, 2012.

A. The Initial Lawsuit Proceeds Slowly, On Account of Dr. Levine's Failing Health

The initial iteration of this lawsuit proceeded somewhat slowly, primarily because of Dr. Levine receiving a diagnosis of terminal cancer. When Dr. Levine's condition worsened and he was unable to give deposition testimony, the Trial Court entered an Order authorizing Dr. Pinski and her counsel to take his deposition by written questions. TR 187. Dr. Pinski did not, however, issue any such questions, and Dr. Levine passed before either of the primary parties were deposed.

B. Dr. Pinski Files a Claim Against the Estate of Dr. Levine for $143,125.00, and After the Claim is Denied, Revives the Lawsuit Against Dr. Levine's Estate, Asserting a Variety of Tort Claims

Dr. Levine passed away in 2017, after which his widow, Sharon Levine, was named as fiduciary of his Estate. Dr. Pinski renewed her claims against the Estate, initially filing a claim for over $100,000, based ostensibly on the hassles and inconveniences of the initial lawsuit, wherein Dr. Levine had refused her various demands at mediation. TR 298-300. After the Estate denied this inflated claim, Dr. Pinski revived the lawsuit against the Estate. Joint Exhibit 14. In the renewed lawsuit, as in her original lawsuit against Dr Levine, Dr.

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

000006 of 000022

Filed

Pinski sought not only compensatory damages, but also a variety of damages in tort, this time on the theory that Mrs. Levine's denial of her inflated claim constituted a breach of fiduciary duty. *Id.*

C. The Revived Lawsuit is Transferred by Agreement to the Original Trial Court, Which Grants Partial Summary Judgment to the Estate

Dr. Pinski's revived lawsuit was filed in Division 10 of the Jefferson Circuit Court in 2018. By Motion, however, the revived action was transferred to Division 7, based on that Court's familiarity and experience with the underlying proceeding. TR 265-267, 270. Once back before the original Trial Court, Mrs. Levine sought and secured partial summary judgment on Dr. Pinski's tort claims against the Estate, with the Trial Court correctly concluding that Mrs. Levine's fiduciary duties ran only to the Estate, and not to Dr. Pinski, as a result of which any request for extracontractual or punitive damages could not stand. TR 446-455.

D. The Parties Proceed to a Bench Trial on Dr. Pinski's Contract Claims, Reserving the Issue of Prevailing Party Attorney Fees for Post-Trial Adjudication

After the Trial Court dismissed Dr. Pinski's tort claims, all that remained were Dr. Pinski's claim for the initial $21,500 that Dr. Levine withheld from the payments, plus each party's request for attorney fees under the Agreement. The stakes thus reduced, the parties agreed to withdraw their request for a jury trial, and agreed instead to a bench trial, which proceeded on May 16, 2023. The parties further agreed to restrict that bench trial to the merits of the underlying contract claims, reserving the issue of attorney fees for post-judgment adjudication. TR 609.

At the outset of trial, the parties stipulated to the authenticity and admissibility of trial exhibits, which were then presented to the Trial Court in a binder and entered in the

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000007 of 000022

Filed

record by agreement. These Joint Exhibits included the Agreement, the checks in question, and Mrs. Levine's notice of disallowance of the claim against the Estate.

At trial, Dr. Pinski first called Mrs. Levine on cross-examination. Mrs. Levine confirmed that she was the duly-appointed fiduciary of her husband's estate,[2] and that in this capacity she disallowed Dr. Pinski's claim for over $100,000.[3] Mrs. Levine disclaimed any material participation in PPK's business during the time that the practice was operating,[4] and readily admitted that it was Dr. Levine, and not she, who negotiated the underlying transaction,[5] with counsel. Mrs. Levine disclaimed any specific knowledge regarding the underlying or original litigation, beyond understanding that her husband had withheld certain sums from the amounts otherwise due, after discovering Dr. Pinski's post-closing negotiation of the checks.[6] Mrs. Levine further confirmed that after the underlying transaction, but prior to his death, Dr. Levine had sold the practice to one Dr. Ketcherside,[7] a fact that Dr. Pinski believes to be relevant to the underlying dispute – and that Mrs. Levine and her counsel do not.

Dr. Pinski then testified on her own behalf. She confirmed that she made the decision to exit PPK because of dissatisfaction with Dr. Levine,[8] with whom she had worked for several decades, initially as an employed doctor, and later as an equal partner

[2] VR 11:00:16 – 11:00:21.

[3] VR 11:10:20 – 11:10:48.

[4] VR 11:01:13 – 11:01:18.

[5] VR 11:01:40 – 11:02:24.

[6] VR 11:03:11 – 11:03:18.

[7] VR 11:07:56 – 11:08:04.

[8] VR 11:15:37 – 11:15:48.

A

000008 of 000022

2410/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

Filed

in the venture.[9] Dr. Pinski confirmed that since departing PPK, she has operated her own practice on Breckenridge Lane in Louisville.[10]

Relative to the specific property and funds in question, Dr. Pinski testified at length about how business decisions made by Dr. Levine, with which she disagreed or on which she had not been consulted, had required her to expend time and energy, largely during the year 2011, shortly before the separation.[11] Among the sources of Dr. Pinski's frustration was her claim that Dr. Levine would absent himself for vacation or for other reasons, leaving her to deal with practice operations. She specifically noted that certain computer and information technology or software management problems ensued, and that these resulted in great expenditures of her time, for which she was not compensated.[12] Dr. Pinski also stated that she had expended some of her own money in connection with computer crashes and a contract cancellation fee.[13] Dr. Pinski introduced no documentary evidence or other proof to support any personal expenditures.

Dr. Pinski further testified that in the last week of February of 2012, shortly before the closing, Dr. Levine or others at the practice denied her access to the practice's financial documents, including its checkbook.[14] Before Dr. Levine implemented this restriction, however, and without notice to Dr. Levine (or anyone else), Dr. Pinski had written the four checks in question. Three of these were non-sequential checks that, despite not being even

[9] VR 11:14:07 – 11:14:58.

[10] VR 11:13:25 – 11:13:42.

[11] VR 11:20:53 – 11:22:48.

[12] VR 11:18:58 – 11:19:58; 11:20:06 – 11:20:11.

[13] *Id.*

[14] VR 11:30:52 – 11:31:37.

A

000009 of 000022

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

Filed

close in numerical order, were all dated January 30, 2012 by Dr. Pinski, approximately five weeks before the closing.[15] Dr. Pinski testified that she wrote these checks to compensate herself for the inconvenience associated with the additional labors described above, and that one of the checks (Joint Exhibit 3 for $5,000) was to reimburse her for one-half of Dr. Levine's medical malpractice premium. Dr. Pinski claimed that Dr. Levine had paid that premium entirely from PPK funds despite an alleged agreement that PPK would only pay half of their respective premiums.[16] Dr. Pinski admitted that Dr. Levine did not approve the issuance of the checks, and that she never notified him that she had done so. Dr. Pinski also vehemently insisted that as a half-owner of the practice and a signatory on the bank account, she was authorized to write checks, either to herself or to others, without Dr. Levine's approval.[17]

Dr. Pinski also acknowledged that checks exceeding five thousand dollars ($5,000) required signatures of both partners in the practice, though she also claimed that Dr. Levine – and not she – breached this agreement or rule on one or more occasions.[18] It is noteworthy in this regard that each of the checks that Dr. Pinski wrote five weeks before the March 2, 2012 closing, and deposited on the next business day after the closing, were all at or slightly below the $5,000 limit.

Dr. Pinski confirmed that the parties executed the Agreement on March 2, 2012.[19] She also confirmed that at the closing, Dr. Levine made the initial installment payment.

[15] Joint Exhibits 3, 4, and 5.

[16] VR 11:23:31 – 11:24:24; 11:25:09 – 11:27:25.

[17] VR 11:35:10 – 11:35:55.

[18] VR 11:31:46 – 11:32:33.

[19] VR 11:43:47 – 11:44:11.

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000010 of 000022

Filed

On the following business day, March 5, 2012, Dr. Pinski deposited each of the checks she had written on January 30, 2012.[20] She attempted to justify this timing by claiming that the practice's account did not have adequate funds to cover the check during the month of February – while she was a half-owner of the practice – but that she verified on the date of deposit that the account was sufficiently funded to cover the checks.[21] Most notably, Dr. Pinski acknowledged the authenticity and validity of the Agreement, which the parties had jointly entered into evidence, and which plainly acknowledged that neither Dr. Levine nor PPK owed her any sums beyond the negotiated purchase price at the time of the closing.

After the close of the brief proof described above, the parties agreed to submit simultaneously proposed findings of fact and conclusions of law to the Trial Court, in lieu of closing argument.[22] Dr. Pinski's filing sought to emphasize a distinction between Dr. Levine and PPK, and to argue that the right to offset or deduct payment, if applicable, belonged only to the entity, and not to Dr. Levine individually. Dr. Pinski further emphasized the undisputed fact that during the time she was a half-owner of the practice, she was authorized to write checks on its behalf. The Estate, for its part, focused on the plain text of the Agreement, and the specific Acknowledgment that on the date of closing, Dr. Pinski was owed nothing beyond the consideration recited for the buyout.

[20] VR 11:44:12 – 11:44:23.

[21] VR 11:47:41 – 11:47:46; 11:49:36 – 11:49:43.

[22] Dr. Pinski's proposed findings appear at TR 550-558. Mrs. Levine's proposed findings appear at TR 533-549.

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

000011 of 000022

Filed

E. The Trial Court Enters Judgment in the Estate's Favor on the Underlying Contract Claim, Finding that Dr. Pinski Breached the Agreement and Should Therefore Take Nothing

By Opinion and Order dated August 31, 2023, [23] the Trial Court determined that Dr. Pinski's contract claim lacked merit, and agreed with the Estate that Dr. Pinski, and not Dr. Levine, had breached the Agreement. The Trial Court predicated this dispositive finding on the plain text of the Agreement, which Dr. Levine and later his Estate had emphasized for a decade, and which Dr. Pinski's protracted litigation had ignored entirely:

> A simple reading of the contract states that Pinski was not owed any monies after the sale of PPK – "she (Pinski) is not entitled to any additional payments, dividends, compensation, or distributions from Levine and/or PPK." AGREEMENT: Acknowledgement section (1)(f). The check was not deposited until after the closing of the business sale. The contract of sale immediately made Dr. Levine the only owner of PPK, and therefore, Pinski was not entitled to the funds she withdrew from the business account after closing.
>
> . . .
>
> A central issue here for the Court to determine is whether or not the checks were "payments" made on the date she wrote them or when they were deposited. Per UCC, Article 3 governs that the negotiable instrument is "negotiated" or "made" when the check is accepted. Pursuant to the governing negotiable instruments section of the code, the payment here was made when Pinski deposited the checks into her bank account. The Court finds that the "payment" was made after the closing of the business, and therefore Pinski breached the Agreement she entered into when she and Levine entered into a contract to transfer her ownership in PPK to Dr. Levine.
>
> TR 606-607.

[23] TR 599-610.

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000012 of 000022

Filed

The Trial Court also rejected Dr. Pinski's effort, which she repeats here, to draw a technical distinction between PPK and Dr. Levine beyond the closing date, when Dr. Levine became the entity's sole owner. As the Trial Court correctly recognized, Dr. Levine was also a party to the Agreement in his individual capacity, and the very Acknowledgment at the heart of the controversy made specific reference not only to the entity but also to Dr. Levine, who was the individual responsible for paying Dr. Pinski for her interest in PPK under the Agreement:

> The Agreement stated clearly that "she (Pinski) is not entitled to any additional payments, dividends, compensation, or distributions from *Levine and/or PPK*." Agreement (1)(f), emphasis added. This informs the Court that not only PPK was involved in offsetting the payment here, but Dr. Levine as well. The withholding of the $21,500 by Dr. Levine happened on June 2, 2012, while Dr. Levine passed away on June 8, 2017. As the Court ruled earlier, the UCC applies, and the Court finds that the Estate does have standing to assert a claim for offset.
>
> TR 608 (emphasis in original).

For each of these reasons, the Trial Court denied Dr. Pinski's claim in full. The Trial Court reserved the issue of prevailing party attorney fees and costs, pursuant to the parties' express agreement to address the matter through post-trial briefing. Despite reserving the issue of fees, however, the Trial Court added the finality language of CR 54.02 to its initial judgment, under which Dr. Pinski took nothing.

F. Dr. Pinski Immediately Appeals the Trial Court's Judgment, Before The Trial Court Addresses Attorney Fees

Dr. Pinski timely appealed the Trial Court's judgment, filing a Notice of Appeal on September 29, 2023. TR 611-612. That separate appeal is this Court's case 2023-CA-1177, and stands fully briefed.

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000013 of 000022

Filed

G. The Trial Court Addresses and Grant's the Estate's Motion for Attorney Fees

The instant matter, which closely parallels the merits appeal, arises from the fairly limited post-trial motion practice that led the Trial Court to grant the Estate its attorney fees. On January 11, 2024, after an unsuccessful Prehearing Conference in the merits appeal, the Estate moved the Trial Court for an award of all of the attorney fees incurred by Dr. Levine and by the Estate throughout the course of the litigation. TR 628-750. The Estate proved its attorney fees by submitting a compendium of invoices for the legal services performed over the preceding decade, along with an Affidavit detailing the (substantially discounted) rates charged by counsel, and the fact that each of the invoices has indeed been paid. TR 642-746. Redactions were made to protect information covered by work product or attorney-client privilege, and the Estate offered to transmit full and unredacted copies of all invoices for the Court's *in camera* review, if the Trial Court so desired. TR 643.

Dr. Pinski objected to the Estate's request for attorney fees, raising largely the same objections repeated in the separate appeal. TR 751-756. Dr. Pinski protested that the initial appeal deprived the Trial Court of jurisdiction, but in so doing ignored Kentucky case law to the contrary. Dr. Pinski also argued that the Estate had not properly proven its entitlement to fees, despite the voluminous billing records attached to the Estate's motion. TR 752-753. Finally, Dr. Pinski protested that various issues, such as whether the Estate, PPK, or Dr. Levine had derived any tax benefit from paying the subject attorney fees, either justified discovery or otherwise had some relevance regarding the motion. TR 753-755.

The Trial Court, correctly unpersuaded by these arguments, most of which were unsupported by any Kentucky authority, denied the objections and granted the Estate's

2410-0-2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000014 of 000022

Filed

motion, awarding the Estate the full amount of $34,592.25 claimed. TR 768. This appeal followed.

ARGUMENT

Dr. Levine was compelled to defend this meritless lawsuit until his death in 2017, and even after his death his widow, Sharon Levine, was forced to expend substantial sums defending her husband's Estate against the same meritless claims. The combined amount expended by Dr. Levine and his Estate exceeded the comparatively paltry amount – $21,500 – originally in controversy. Yet Dr. Pinski's continued insistence that this was not merely a contract dispute, and instead to contend that Dr. Levine and later his Estate had engaged in tortious conduct, caused each of her demands to exceed the amount in controversy by several orders of magnitude. This remained the case even after the Trial Court dismissed her punitive damages claims before trial. Dr. Pinski lost the underlying claims because she was in the wrong, and she lost the attorney fee case because she lost the contract claim.

Here, as below, Dr. Pinski raises the following objections to the Trial Court's award of attorney fees to the Estate as the prevailing party: (1) that the Trial Court lost jurisdiction to make an ancillary award of fees when she filed an appeal of the underlying claim; (2) that the voluminous billing statements and proof of payment submitted by the Estate were not compliant with applicable Local Rules, or were otherwise insufficient to prove the fees incurred and paid by Dr. Levine and the Estate over the course of this litigation; (3) that an artificial distinction between PPK and Dr. Levine, its sole owner throughout this conflict, prohibits the Estate from recovering fees paid by PPK; and/or (4) that the Trial Court erred in denying her additional discovery on the propriety of the fees, and/or some deduction for tax savings or other benefit that the payors may have realized by virtue of deducting the

2410/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

000015 of 000022

Filed

fees as business expenses. The Trial Court correctly rejected each of these arguments when it approved the tendered judgment.

I. DR. PINSKI'S APPEAL OF THE TRIAL COURT'S MERITS DECISION DID NOT DEPRIVE THE COURT OF JURISDICTION TO CONSIDER THE ANCILLARY ISSUE OF AN ATTORNEY FEE AWARD

Dr. Pinski's first argument is that the Trial Court's judgment in the merits action became final ten days after it was entered, depriving the Trial Court of considering a motion for attorney fees filed thereafter. In support, Dr. Pinski cites *Ky. Farm Bureau Mut. Ins. Co. v. Gearhart*, 853 S.W.2d 907 (Ky. App. 1993). This citation and discussion is inapposite, because the issue of a prevailing party's attorney fees in a contract or civil rights proceeding is separate and distinct from the underlying judgment, and the award is an ancillary one. When ten days expired after the Trial Court's judgment on the merits, or when Dr. Pinski filed her Notice of Appeal from the underlying judgment under CR 73.02, the Trial Court lost jurisdiction to modify the underlying judgment – a judgment that simply denied and dismissed Dr. Pinski's claim. But the Trial Court did not lose jurisdiction to resolve the ancillary issue of attorney fees.

This Court effectively so held in *Louisville-Jefferson County Metro Gov't v. Brooks*, 2013 WL 4512649 (Ky. App. Aug. 23, 2013) (rev. denied 2014), attached as Appendix A. In *Brooks*, this Court specifically rejected the notion that the strictures of CR 52 and CR 59, each of which limits the rights of parties to seek to modify judgments after the expiration of ten days, also deprive the Court of jurisdiction to thereafter render supplemental judgments awarding costs of attorney fees. *Id.* at *2.

The instant case illustrates why this Court's holding in *Brooks* was both correct and necessary. Here, the parties agreed to try the contract portion of this case with the express understanding that the contract provided for prevailing party attorney fees, and that the

A

000016 of 000022

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

Filed

issue of fees would be reserved for post-trial consideration – with the winning party filing a motion. After the Trial Court rendered its judgment, the attorney-fee issued remained outstanding, and for post-trial consideration. Dr. Pinski (or the Estate, had Dr. Pinski's failed claims prevailed) could not deprive the Trial Court of jurisdiction to address the subsidiary issue of attorney fees by appealing from the contract judgment, then arguing that doing so mooted the fees issue by transferring jurisdiction of the underlying controversy entirely to this Court.

II. THE TRIAL COURT CORRECTLY RECOGNIZED THAT THE ESTATE WAS THE PREVAILING PARTY BELOW

After first contending that the Trial Court lacked jurisdiction to enter an award of fees in the Estate's favor, Dr. Pinski argues unpersuasively that the Estate was not the prevailing party. As a preliminary matter, this argument duplicates the argument made by Dr. Pinski in her original appeal, which emanated from the Trial Court's merits decision, and should not therefore be considered in this appeal.[24] More substantively, however, Dr. Pinski is simply wrong, because the Trial Court's August 31, 2023 Opinion and Order correctly rejected all of her contract claims, finding that it was she and not Dr. Levine or PPK that breached the Agreement, and awarding her nothing on the claims that she had pursued for over a decade.

On receiving this adverse decision, Dr. Pinski did not seek additional findings, in contravention of CR 52.04. Nor did Dr. Pinski file any post-trial motion under CR 54 or

[24] Dr. Pinski's Brief concedes at fn. 1, p. 6 that these arguments are the subject of the prior appeal, and not properly before this Court. The undersigned would submit that judicial economy counsels in favor of adjudicating this attorney fee claim concurrently with the pending contract case appeal as a matter of judicial economy, and would not oppose consolidation. But no such motion has been presented, and accordingly in the present posture, the Estate submits that only the issue of attorney fees (the tail wagging the merits dog) is before this panel, while the merits argument (the dog itself) is not.

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

000017 of 000022

Filed

CR 59. In so doing, she waived her right to revisit or object to the Trial Court's underlying factual determinations – all of which are the subject of her parallel appeal in the merits case.

III. THE ESTATE PROPERLY PROVED THE REASONABLE FEE EXPENDITURES MADE BY DR. LEVINE AND BY THE ESTATE THROUGHOUT THE COURSE OF THE ORIGINAL AND REVIVED LAWSUITS

Dr. Pinski's third objection is that the Estate failed to properly prove the attorney fees incurred and paid by the various defendants throughout the course of the underlying litigation. This is also incorrect. As a first matter, a trial court's award of attorney fees, when such fees are authorized or compelled by contract or statute, is reviewable under an abuse-of-discretion standard. *Haney v. Stykes*, 688 S.W.3d 561, 564 (Ky. App. 2023) (rev. denied 2024); *Miller v. McGinty*, 234 S.W.3d 371, 373 (Ky. App. 2007). "The test for abuse of discretion is whether the trial judge's decision was arbitrary, unreasonable, unfair, or unsupported by sound legal principles." *Goodyear Tire and Rubber Co. v. Thompson*, 11 S.W.3d 575, 581 (Ky. 2000). The Trial Court's award of attorney fees was plainly within its discretion, and should not be reversed.

The Estate proved the attorney fees by submitting a compendium of invoices for the services performed and an Affidavit of counsel (TR 642-745), establishing the (discounted) rates charged and the fact that each of the invoices had indeed been paid. The Estate's counsel made redactions to some of the invoices to protect information covered by work product or attorney-client privilege, but the Estate also offered to transmit full and unredacted copies of all invoices for the Court's *in camera* review, if so desired (TR 643). This practice comports with well accepted practice in attorney-fee litigation since the Kentucky Supreme Court's decision in the seminal case of *Meyers v. Chapman Printing*

A

000018 of 000022

2410-CA-1[illegible]4 10/2/2024 Clerk Lisa R. Morgan, Clerk, Kentucky Court of Appeals

Filed

Co., Inc., 840 S.W.2d 814, 826 (Ky. 1992) (approving the familiar "lodestar" calculus, under which "attorney's fee award should consist of the product of counsel's reasonable hours, multiplied by a reasonable hourly rate, which provides for a 'lodestar' figure, which may then be adjusted to account for various special factors in the litigation"). The Estate's proof here included all such data. Further, to the extent that redactions were made to preserve privilege, and to facilitate any *in camera* review the Trial Court may have wished, this comports with accepted practice. *See also Collins v. Braden*, 384 S.W.3d 154, 164 (Ky. 2012).

This Court has approved consideration of the following factors in determining the reasonableness of an attorney fee award: (a) the amount and character of services rendered; (b) the labor, time, and trouble involved; (c) the nature and importance of the litigation or business in which the services were rendered; (d) the responsibility imposed; (e) the amount of money or the value of property affected by the controversy or involved in the employment; (f) the skill and experience called for in the performance of the services; (g) the professional character and standing of the attorneys; and (h) the result secured. *Mo-Jack Distrib., LLC v. Tamarak Snacks, LLC*, 476 S.W.3d 900, 910 (Ky. App. 2015).

Dr. Pinski has not raised any direct substantive objection to the total amount of fees incurred by Dr. Levine and the Estate, and a simple historical review of this lawsuit reveals why no such objection would lie. This litigation extended for more than a decade, although the case was admittedly dormant over a fair amount of its lifetime. When the case was active, however, it involved meaningful discovery, and substantial procedural fencing, including successful motion practice by the Estate to eliminate Dr. Pinski's tort claims on summary judgment. The lawsuit culminated in an admittedly brief bench trial, but one that

000019 of 000022

2410/2/2024 Clerk Lisa R. Morgan, Clerk, Kentucky Court of Appeals

Filed

was followed by extensive post-trial briefing. For all of this work, the attorney fees sought and recovered less than thirty-five thousand dollars ($35,000). The Estate's counsel charged rates that actually *decreased* over the course of the litigation, and that are substantially less than hourly rates approved by courts in recent fee-dispute cases. *See e.g. Schnatter v. 247 Group, LLC*, 2024 WL 3165319 (W.D. Ky. June 25, 2024) at *3 (Magistrate Judge Lindsay approving hourly fees of $425 for law firm partners and $250 for associates in complex litigation), attached hereto as Appendix B.

IV. DR. PINSKI'S REMAINING OBJECTIONS ARE WITHOUT MERIT OR NOT PROPERLY PART OF THIS APPEAL

Dr. Pinski argues, without citation to any particular authority, that any attorney fees paid by PPK, the podiatric practice itself, are not subject to recoupment by the Estate, on the basis that PPK paid these sums as a volunteer. The Trial Court's initial ruling on the merits effectively debunks this novel theory, recognizing that both Dr. Levine and PPK were parties to the original Agreement and entitled to enforce the obligations thereunder. TR 624. Further, to the extent that Dr. Pinski's claims in the underlying litigation sought unsuccessfully to recover an alleged shortfall from Dr. Levine, all sums expended to defend against her entitlement to those funds were both necessary and successful, as the Trial Court recognized.

Finally, Dr. Pinski advances some arguments that attack the Trial Court's decision on the merits, which arguments her Brief concedes to be the subject of a separate appeal. (*See* fn. 1 at p. 6 of Appellant's Brief). Inasmuch as Dr. Pinski concedes these allegations of error not to be before this Court on the limited issue of the attorney-fee award, the Estate submits that they are not properly the subject of argument here.

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

000020 of 000022

Filed

CONCLUSION

In 2012, Dr. Pinski sat at a closing table with counsel, the same counsel who represents her here, and executed an Agreement that unambiguously disclaimed any entitlement to payments from PPK or Dr. Levine of anything more than $205,000, the stated consideration for Dr. Pinski's half-interest in that business. Almost before the ink was dry on that Agreement, Dr. Pinski violated this contractual warranty by depositing several checks that she had surreptitiously taken and written to herself before closing. In so doing, Dr. Pinski effectively converted money from the very practice in which she had just relinquished ownership, and in which Dr. Levine was, by the time of the conversion, the sole owner. When Dr. Levine protested this violation, Dr. Pinski did not accept the consequences of her misdeeds. Instead, she spent more than a decade chasing Dr. Levine, and after his death his Estate, for money to which she was not entitled, as well as to other categories of damages, many of which were not recoverable as a matter of law.

Dr. Levine, and after his passing his Estate, were forced to defend these claims over more than a decade. They did so, and did so successfully, with Dr. Pinski taking nothing for her claim. Once the Estate prevailed, it became entitled to attorney fees as the prevailing party under the Agreement. The Trial Court properly awarded the Estate its reasonable fees, which the Estate proved correctly and in accordance with standard practice. The Trial Court did not abuse its discretion in so doing, and the award and resulting judgment should be affirmed.

000021 of 000022

2410-CA-13024 10/2/2024 Clerk Christie R. Morgan, Clerk, Kentucky Court of Appeals

Filed

Respectfully submitted,

/s/ Paul Hershberg

PAUL HERSHBERG (Ky. Bar No. 86660)
PAUL HERSHBERG LAW, PLLC
Kaden Tower, Suite 1100
6100 Dutchmans Lane
Louisville, Kentucky 40205
Telephone: (502) 736-7040
Facsimile: (502) 736-7510
Email: paul@hershberglaw.com
Counsel for Appellee Sharon Levine, Individually and in her capacity as Executor of the Estate of Robert G. Levine

000022 of 000022

241/2/2024 Lisa Dale R. Morgan, Clerk, Kentucky Court of Appeals

Filed: 2024-CA-0320 10/21/2024
Kate R. Morgan, Clerk
Kentucky Court of Appeals

APPENDIX

A *Louisville-Jefferson County Metro Gov't v. Brooks*
2013 WL 4512649 (Ky. App. Aug. 23, 2013) (rev. denied 2014)

B *Schnatter v. 247 Group, LLC*
2024 WL 3165319 (W.D. Ky. June 25, 2024)

A

000001 of 000012

Filed

APPENDIX A

A

000002 of 000012

2410-CI-00004 10/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals

Filed

KeyCite Yellow Flag - Negative Treatment
Disagreement Recognized by Hunt v. North American Stainless, Ky.App., May 9, 2014

2013 WL 4512649
Only the Westlaw citation is currently available.

Unpublished opinion. See KY ST RAP Rule 41 before citing.

NOT TO BE PUBLISHED
Court of Appeals of Kentucky.

LOUISVILLE–JEFFERSON COUNTY METRO GOVERNMENT and Ronald L. Bishop, Former Director for Louisville–Jefferson County Metro Corrections, Appellants.

v.

Kelvin BROOKS, Sr.; Donna Martin; and T. Clay, Appellees.

No. 2012–CA–001141–MR.
|
Aug. 23, 2013.
|
Discretionary Review Denied by Supreme Court Feb. 12, 2014.

Appeal from Jefferson Circuit Court, Action No. 98–CI–002519; Barry Willett, Judge.

Attorneys and Law Firms

David A. Sexton, Stephen P. Durham, Assistant Jefferson County Attorneys, Louisville, KY, for appellants.

Thomas E. Clay, Louisville, KY, for appellees.

Before MAZE, STUMBO and TAYLOR, Judges.

OPINION

STUMBO, Judge.

***1** Louisville–Jefferson County Metro Government and Ronald L. Bishop, former Director of Louisville–Jefferson County Metro Corrections (hereinafter collectively referred to as "Metro Government") appeal from an Order of the Jefferson Circuit Court awarding additional attorney fees to Thomas E. Clay. Metro Government contends that because the motion of Donna Martin, for additional attorney fees, was filed more than 10 days after the Supplemental Judgment was rendered, the Jefferson Circuit Court lost jurisdiction to amend the Supplemental Judgment. For the reasons stated below, we conclude that additional attorney fees may be awarded more than 10 days after the Judgment, and accordingly affirm the Order on appeal.

In 1998, Kelvin Brooks and Donna Martin filed an action in Jefferson Circuit Court against Metro Government alleging violation of the Kentucky Civil Rights Act. After the jury returned a Judgment in favor of Metro Government, Brooks and Martin successfully prosecuted an appeal to this Court. A panel of this Court vacated and remanded the Judgment in 2005, resulting in a second trial. At the conclusion of the second trial, the jury returned a verdict in favor of Brooks and Martin. Brooks and Martin then moved to amend the Judgment to include attorney fees. Upon considering the motion, the Jefferson Circuit Court amended the Judgment to include $242,901 in attorney fees.

Metro Government appealed from the Amended Judgment, and Brooks and Martin cross-appealed. On June 12, 2009, a panel of this Court rendered an Opinion reversing Martin's award of lost wages, but in all other respects affirming. The matter was remanded to the Jefferson Circuit Court, which rendered an Order and Supplemental Judgment on July 15, 2011, bringing the Judgment into conformity with the Court of Appeals' Opinion. Metro Government then tendered a check to Brooks and Martin in the amount of $949,910, representing full satisfaction of the Supplemental Judgment including attorney fees.[1] Brooks and Martin refused to accept the payment as full satisfaction, claiming entitlement to post-judgment interest. Thereafter, the circuit court awarded post-judgment interest at the rate of 12%.

On August 3, 2011, Martin filed a motion to modify the amount of attorney fees set out in the 2011 Order and Supplemental Judgment. The attorney fees represented work performed by Plaintiffs' counsel Thomas E. Clay preparing for the second appeal in this action which resulted in the June 12, 2009 Opinion reversing Martin's award of lost wages. Metro Government responded by arguing that the circuit court lost jurisdiction to amend the Supplemental Judgment because the motion to modify the attorney fees was filed more than 10 days after the Supplemental Judgment. During the

 © 2024 Thomson Reuters. No claim to original U.S. Government Works.
2410/2/2024 Clerk, Kentucky Court of Appeals
000003 of 000012

pendency of the motion, Metro Government filed a Notice of Appeal with this Court. As a basis for the appeal, Metro Government argued that the circuit court erred in awarding 12% interest. A panel of this Court affirmed the Supplemental Judgment by way of an Opinion rendered on February 12, 2013.

***2** Thereafter, on June 4, 2012, the Jefferson Circuit Court rendered an Order sustaining Martin's renewed motion for additional attorney fees in the amount of $29,750. The Order contained a handwritten notation that "hearing [was] conducted [on] Oct. 25, 2011." This appeal followed.

In this fourth appeal, Metro Government argues that the Jefferson Circuit Court erred in sustaining Martin's motion for additional attorney fees in the amount of $29,750 representing work performed by Plaintiffs' counsel in preparation for the second appeal. In support of this claim of error, Metro Government notes that the final Order and Supplemental Judgment was rendered on July 15, 2011, and that by operation of the Kentucky Rules of Civil Procedure (CR) 59.05, all motions to amend the Judgment must be made within 10 days of the Judgment. Metro Government argues that the Jefferson Circuit Court lost jurisdiction over the instant action before Martin moved for an award of additional attorney fees. It directs our attention to the lapse of some 11 months between the entry of the final Order and Supplemental Judgment on July 15, 2011, and the June 4, 2012 award of additional attorney fees, which it contends is wholly unsupported by the Civil Rules and the relevant case law. Metro Government contends that the final Order and Supplemental Judgment is a "final Judgment" for purposes of starting the 10–day clock, that it was final and appealable, and that it left nothing for later adjudication. It maintains that there must be a point at which the parties to a legal action can definitively believe that the matter has been concluded and that no further judgments or orders may be rendered. In the instant case, it argues that the entry of the final Order and Supplemental Judgment was the final act of the circuit court's jurisdiction in this action, and that the award of attorney fees some 11 months later was improper and must be reversed. In response, attorney Clay contends that this Court previously rejected this argument in the 2009 Opinion, that he is entitled to attorney fees by operation of KRS 344.450, and that the case law relied upon by Metro Government is distinguishable.

As the parties are well aware, a final judgment is a final order adjudicating all of the rights of the parties to an action. CR 54.01. "A motion to alter or amend a judgment, or to vacate a judgment and enter a new one, shall be served not later than 10 days after entry of the final judgment." CR 59.05. This rule mirrors CR 50.02, which limits to 10 days after the judgment the time during which a party may move for a new trial, and CR 59.04 which similarly limits to 10 days the window for *sua sponte* new trial orders. These rules derive from the broader common law recognition that a court loses jurisdiction after the final judgment. *Mullins v. Hess,* 131 S.W.3d 769, 774 (Ky.App.2004).

However, there are limited exceptions to this rule which allow the trial court to award costs and fees more than 10 days after the Judgment. The Kentucky Supreme Court has ruled, for example, that the civil rule depriving the trial court of jurisdiction to amend its final judgment more than 10 days after the judgment did not deprive it of jurisdiction to render a supplemental judgment awarding costs. *Brett v. Isaac,* 2009 WL 2707092 (Ky.2009).[2] "CR 52.02 is not to be read to deprive a trial court of all jurisdiction." *Id.* at 2. Some three years later, a panel of the Court of Appeals applied *Brett* to conclude that "awarding attorneys' fees and costs ... more than 10 days after the entry of the judgment is permissible, and the trial judge did have jurisdiction to enter the order awarding costs and attorneys' fees in the instant case." *Nationwide Ins. Co. v. Madison,* 2012 WL 6213794 (Ky.App.2012). While *Madison* centered on the application of CR 37.03 (failure to make admissions), it supports the proposition that a trial court has limited jurisdiction to render an award of attorney fees more than 10 days after the judgment. Conversely, a panel of this Court has also determined that a trial court did not abuse its discretion in denying an award of attorney fees after the judgment. *Scott v. Campbell County Bd. of Ed.,* 618 S.W.2d 589 (Ky.App.1981).

***3** An award of attorney fees lies within the sound discretion of the circuit court, and will not be disturbed on appeal absent an abuse of that discretion. *Ford v. Beasley,* 148 S.W.3d 808 (Ky.App.2004). We cannot conclude that the Jefferson Circuit Court abused its discretion under the facts before us. Martin's motion for additional attorney fees was made on August 3, 2011, or some 18 days after the July 15, 2011 Order and Supplemental Judgment was rendered. During the pendency of the motion, Metro Government prosecuted another appeal, and the award of additional fees was made after the resolution of that appeal. *Brett* and *Madison* support Martin's contention that the trial court retains the authority to award costs and fees more than 10 days after it otherwise loses jurisdiction to amend the Judgment, order a new trial, etc. Though a panel of this Court affirmed the trial court's denial of attorney fees in

2410/2/2024 Lisa R. Morgan, Clerk, Kentucky Court of Appeals
000004 of 000012

Filed

Scott, that case is distinguishable as the motion for additional attorney fees therein was not made for some 30 months after the Judgment. Martin's motion for additional attorney fees was tendered about 18 days after the Judgment, and the matter was effectively held in abeyance by the subsequent appeal. When the appellate process was concluded, Martin renewed the motion and the trial court awarded attorney fees in conformity with attorney Clay's exhibit of the hours expended prosecuting the second appeal. In sum, we find no basis for concluding that the Jefferson Circuit Court abused its discretion in awarding attorney fees for the work performed on the second appeal, and accordingly find no error.

For the foregoing reasons, we affirm the Order of the Jefferson Circuit Court awarding additional attorney fees to Thomas E. Clay.

ALL CONCUR.

All Citations

Not Reported in S.W.3d, 2013 WL 4512649

Footnotes

1 It was later determined that the check was $50,000 in excess of the Supplemental Judgment. The circuit court then applied the $50,000 to accrued interest.

2 Unpublished cases are cited pursuant to CR 76.28(4).

End of Document

© 2024 Thomson Reuters. No claim to original U.S. Government Works.

000005 of 000012

2410/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

Filed

APPENDIX B

A

000006 of 000012

2410/2024 Lisa Dale R. Morgan, Clerk, Kentucky Court of Appeals

2024 WL 3165319
Only the Westlaw citation is currently available.
United States District Court, W.D. Kentucky,
Louisville Division.

John H. SCHNATTER, Plaintiff,

v.

247 GROUP, LLC, et al., Defendants.

CIVIL ACTION NO. 3:20-CV-00003-BJB-CHL
|
Signed June 24, 2024
|
Filed June 25, 2024

Attorneys and Law Firms

Augustus S. Herbert, Dennis D. Murrell, Elisabeth S. Gray, Katherine Ison, Gray Ice Higdon, PLLC, Louisville, KY, for Plaintiff.

Bert H. Deixler, Pro Hac Vice, David Freenock, Pro Hac Vice, Patrick J. Somers, Pro Hac Vice, Kendall Brill & Kelly LLP, Los Angeles, CA, Michael P. Abate, Kaplan Johnson Abate & Bird LLP, Louisville, KY, for Defendants.

MEMORANDUM OPINION & ORDER

Colin H. Lindsay, Magistrate Judge

***1** In a March 14, 2022 report and recommendation (DN 194), later adopted by District Judge Benjamin J. Beaton on September 21, 2022 (DN 219), the undersigned granted Defendants' motion for discovery sanctions (DN 151) and ordered Plaintiff John H. Schnatter to pay the reasonable costs and attorneys' fees incurred by Defendants in prosecuting the motion. (DN 194 at PageID # 391.) As directed, Defendants filed billing records and corresponding declarations requesting that Schnatter be ordered to pay $102,238.50 in attorneys' fees. (DN 195.) Schnatter filed a response. (DN 199.) Therefore, this matter is ripe for review.

I. BACKGROUND

On October 25, 2021, Defendants moved for discovery sanctions against Schnatter for the destruction and spoliation of text messages and electronic devices. (*See* DN 151.) The Court found Schnatter's conduct to be sanctionable under Federal Rule of Civil Procedure 37 and awarded attorneys' fees and costs as necessary to cure the prejudice cause by the misconduct. (DN 194 at 3910-11.) Schnatter was ordered to pay reasonable Defendants' costs and attorneys' fees incurred in prosecuting their motion, including the costs associated with correspondences and conferences with Schnatter after the October 29, 2020 deficiency letter, the August 12, 2021 and August 17, 2021 status conferences, and briefing the motion. (*Id.* at 3913; *see also* DN 219.)

Defendants seek attorneys' fees in the amount of $102,238.50 for 198.3 hours of time billed across six attorneys from two law firms, California-based firm Kendall Brill & Kelly LLP ("KBK") and Louisville-based firm Kaplan Johnson Abate & Bird LLP ("Kaplan"). Defendants do not seek any additional costs. Schnatter opposes Defendants' proposed fee award, disputing both the reasonableness of the hourly rates and the number of hours reasonably expended.

II. LEGAL STANDARD

Defendants propose an award of attorneys' fees based on the "lodestar" method. (DN 195 at 3918-19.) Under the "lodestar" method, attorneys' fees are determined by multiplying the number of hours reasonably expended on this litigation by a reasonable hourly rate. *See Hensley v. Eckerhart*, 461 U.S. 424, 433 (1983); *Bldg. Serv. Loc. 47 Cleaning Contractors Pension Plan v. Grandview Raceway*, 46 F.3d 1392, 1401 (6th Cir. 1995). In assessing whether a rate charged is reasonable, "courts use as a guideline the prevailing market rate ... that lawyers of comparable skill and experience can reasonably expect to command within the venue of the court of record." *Gonter v. Hunt Valve Co.*, 510 F.3d 610, 618 (6th Cir. 2007). "The party seeking attorneys' fees beard the burden of proving reasonableness of the hourly rates claimed." *Van Horn v. Nationwide Prop. & Cas. Ins. Co.*, 436 F.App'x 496, 498 (6th Cir. 2011) (quoting *Granzeier v. Middleton*, 173 F.3d 568, 577 (6th Cir. 1999)).

III. ANALYSIS

As a preliminary matter, the Court will note that Defendants' declaration contains mathematical and/or typographical errors. It is impossible to discern how Defendants' counsel arrived at their respective conclusions without a show of their work, but the accuracy of KBK's statements is in question. In its declaration, KBK asserts that its attached invoices were reviewed and that counsel "reduced total hours billed each month as to eliminate any charges for unnecessary duplication of effort." (DN 195 at 3921.) The declaration then lists the

 © 2024 Thomson Reuters. No claim to original U.S. Government Works.

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

000007 of 000012

Filed

total hours billed for each KBK attorney presumably after applying reductions—45.4 hours for Somers, 1.9 for Deixler, 26.3 for Cambeiro, and 49.9 for Srinivasan. (*Id.*) Note that these hours are what one might expect to see on the attached

***2** (*Id.* at 3922.) Thus, the total of KBK fees sought is $79,951.50.

The sum of $79,951.50 is incorrect if intended to be the sum after reduction. For example, Cambeiro's fee of $17,347.00 would represent 34.7 hours at a rate of $500 per hour (including 0.3 hours billed at $490) and not 26.3 hours. Srinivasan's fee of $25,287 would represent 50.7 hours of work at a rate of $500 per hour (including 4.2 hours billed at $485) and not 49.9 hours. It reasonably appears that $79,951.50 as the full amount of KBK's fees is the result of KBK simply failing to account for its own reductions. This might have been a harmless error, easily corrected by multiplying the reduced hours by the attorneys' standard rates. But the error compounds with Deixler's and Somers's hours, which are higher *after* KBK's review. Specifically, the invoice reflects that Deixler billed 1.1 hours and that Somers billed 45.1 hours, but this is "reduced" to 1.9 and 45.4 according to KBK's declaration. (*Id.* at 3921-25)

While simple errors are typically not cause for concern, the outcome here is that a reduction ultimately did not occur, and invoices. On the next page, KBK applies the lodestar method to propose the following as its reasonable attorneys' fees[1] :

Attorney	*Total Fees*
Bert Deixler	$1,237.50
Patrick Somers	$36,080.00
Nicole Cambeiro	$17,347.00
Priya Srinivasan	$25,287.00

the discrepancies do not allow for a mathematical correction by the Court. Schnatter further asserts that Defendants' proposal is unreliable as the attached invoices are not the same invoices submitted to Defendants, which would disclose exactly what was charged and what, if anything, Defendants paid. (DN 199 at 3944.) There is no requirement that Defendants submit additional records other than those already before the Court. However, due to the errors, the Court will refer to only the hours and rates reflected on the invoices for the lodestar calculation as there is sufficient detail in them to determine accuracy and therefore to determine reasonableness.

a. Reasonable Rates

The Parties dispute the reasonable hourly rate for Defendants' counsel from KBK. The rates billed by KBK and Kaplan attorneys in this matter[2] are as follows:

Attorney	*Years of Practice*	*Hourly Rate*
Kendall Brill & Kelly LLP		
Bert Deixler	45	$1,125.00
Patrick Somers	13	$800.00
Nicole Cambeiro	5	$500.00
Priya Srinivasan	4	$500.00
Kaplan Johnson Abate & Bird LLP		
Michael Abate	16	$425.00
Burt Stinson	<1	$210.00

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals
000008 of 000012

Filed

(DN 195 at 3923-25, 195-1 at 3930-31.)

In assessing whether a rate charged is reasonable under the lodestar method, "courts use as a guideline the prevailing market rate ... that lawyers of comparable skill and experience can reasonably expect to command within the venue of the court of record." *Gonter*, 510 F.3d at 618. Schnatter argues that the requested rates are inconsistent with Kentucky's prevailing market rate. (DN 199 at 3938.) Defendants assert that courts have looked "to the actual hourly rate that an attorney billed and/or the rates that the attorney charges in general" and suggest that the usual rate be considered instead of prevailing market rates where, as here, the attorney bills a client by the hour as opposed to billing in the context of fee-shifting statutes. (DN 195 at 3920.) Defendants rely on *Kelley, Scales*, and *Gascho*, but each of these addresses application of the lodestar method solely in the context of fee-shifting statutes and none support accepting KBK's usual rates as reasonable outside of the fee-shifting context or at the exclusion of prevailing market rates. *See Kelley v. Metro. Cty. Bd. Of Educ.*, 773 F.2d 677, 683 (6th Cir. 1985); *Scales v. J.C. Bradford & Co.*, 925 F.2d 901 (6th Cir. 1991); *Gascho v. Glob. Fitness Holdings, LLC*, 833 F.3d 269 (6th Cir. 2016). In *Kelley*, the Sixth Circuit utilized the prevailing market rate to set a "minimum point of departure" and determined a range from which a reasonable hourly rate could be derived. 773 F.2d at 683. The attorney's usual hourly rate was listed but not discussed otherwise, except to approve a reduction in the rate to compensate for the attorney's inexperience. *Id.* at 684. In *Scales*, the party seeking fees requested that the court award the greater prevailing market rate of $140 for its local attorneys instead of the attorney's *lesser* usual rate. 925 F.3d at 909. The court rejected this proposal and utilized the lesser rate. *Id.* When the opposing party challenged the court's failure to consider prevailing market rates, the Sixth Circuit explained that the district court "did not have to engage in this inquiry because [the court] had previously been given the actual billing rates of [the] attorneys" during the discovery phase. *Id.* This is distinguishable because utilizing the prevailing market would have increased the hourly rate, not decreased it as is the case here. In *Gascho*, the situation was reversed. 833 F.3d at 280. The lower court awarded fees at a higher rate than the prevailing market to incentivize class action litigation and "best ensure that Class Counsel is fairly compensated ... and fairly accounted for the risk to Class Counsel and the policy underlying the fee shifting statutes." *Id.* at 281. The Sixth Circuit agreed, stating that the lower court's decision to apply the lodestar method "was undoubtedly within [its] discretion[.]" *Id. Gascho* was the only decision supportive of an increased rate, but that increase was reasonable in light of policy considerations that are not applicable here. None of the above cases supported a direct reimbursement of the usual rate without inquiry as to the reasonableness of the rate against the prevailing market.

***3** Defendants also point to four Los Angeles Superior Court decisions from 2015 and 2018 approving KBK's rates at a minimum of $479 to as much as $891 for partners. (*Id.*) However, "[t]he typical charge of a foreign counsel for work performed within the geographic area where he or she maintains his or her office or normally practices is *not* determinative" when determining the reasonableness of rates. *LaQuinta Corp. v. Heartland Properties, LLC*, No. 3:05CV-328-S, 2009 WL 10728149, at *6 (W.D. Ky. Apr. 30, 2009) (citing *Adcock-Ladd v. Sec'y of Treasury*, 227 F.3d 343, 350 (6th Cir. 2000) (citations omitted)). Further, "[w]hile courts in this circuit may apply an out-of-town rate for work done by a non-local specialist, they must first 'determine (1) whether hiring the out-of-town specialist was reasonable in the first instance, and (2) whether the rates sought by the out-of-town specialist are reasonable for an attorney of his or her degree of skill, experience, and reputation.' " *York v. Velox Express, Inc.*, No. 3:19-CV-00092-CHL, 2022 WL 20804127, at *11 (W.D. Ky. Mar. 25, 2022) (quoting *Hadix v. Johnson*, 65 F.3d 532, 535 (6th Cir. 1995)). Although Defendants highlight the unique qualifications and experience of the attorneys that worked on this case, "[they] offer nothing showing that the case 'required specialized expertise that was unavailable in the [local] legal market' or that counsel local to the area lacked the resources or ability to handle the case." *Clark v. W. Iris Transp., Inc.*, No. CV 18-168-DLB-CJS, 2020 WL 2781601, at *4 (E.D. Ky. Feb. 27, 2020), report and recommendation adopted, No. CV2018168WOBCJS, 2020 WL 2789910 (E.D. Ky. Mar. 19, 2020) (quoting *Martinez v. Blue Star Farms, Inc.*, 325 F.R.D. 212, 222 (W.D. Mich. 2018)). Therefore, out-of-town rates are not an appropriate starting place for the lodestar calculation. The Court will determine the local market rate that counsel can reasonably expect to command in this venue based on the Court's experience and judgment.

The prevailing market can be determined in part using the rates of co-counsel at Kaplan, who are "competent counsel" with rates "available locally at a lower charge" that the Court may apply "to the services provided by the out-of-town specialist." *The Ne. Ohio Coal. for the Homeless v. Husted*,

241 A 2 1 2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals
000009 of 000012

Filed

831 F.3d 686, 716 (6th Cir. 2016) (citing *Hadix*, 65 F.3d at 535). Schnatter does not challenge Kaplan's rates but assumes the rates are reasonable within the market to protest against KBK's rates. Schnatter's assumption is not mistaken. In 2009, this Court noted that it was not aware of any published or unpublished federal opinion arising in this district that upheld an attorney's fee request based upon a billing rate of $305 an hour and, in doing so, set a $300 an hour rate for an attorney with some 20 years of successful experience in litigating franchise disputes. *La Quinta*, 2009 WL 10728149, at *12. Hourly rates have naturally increased since that time and, as of 2022, "federal courts in and around Kentucky recently have found that hourly rates between approximately $300 and $400 represented reasonable partner rates" in other types of federal actions, such as in employment disputes. *York*, 2022 WL 20804127, at *11 (quoting *Hendricks v. Quickway Transportation, Inc.*, No. 3:20-CV-710-BJB-CHL, 2021 WL 1235265, at *4 (W.D. Ky. Apr. 2, 2021) (collecting cases)). For example, this Court has awarded up to $525 per hour for the work of a senior partner in a trademark infringement action. *See Chimney Safety Institute of America v. First Call Chimney Service, LLC*, No. 3:19-CV-705-CRS, 2020 WL 3065624 at *2 (W.D. Ky. June 9, 2020). Given this range and that local co-counsel's rate falls within it, the Court finds Kaplan's rates to be reasonable and that Defendants have not met their burden to establish the reasonableness of billing a rate 61% to 90% higher than local co-counsel. Somers in 2021 had just under 15 years of experience in complex business litigation with an emphasis on media and entertainment litigation. (*Id.* at 3916-17.) Abate had just over 15 years of experience in the same or more areas, including media litigation, with a standard rate of $425 per hour. (DN 195-1 at 3927.) While Deixler's accomplishments and experience of over 45 years are impressive, Defendants fail to establish whether this case required his specialized expertise or that it was unavailable in the local market. Therefore, the hourly rates for Somers and Deixler will be reduced from $800 and $1,125 respectively to $425. The hourly rates for Cambeiro and Srinivasan will be reduced from $500 to $250 to align more closely with Stinson's associate rate of $210 but taking into consideration that Cambeiro and Srinivasan's practice experience exceeded Stinson's by four and five years.

b. Reasonable Hours

***4** Defendants' counsel billed 198.3 hours in total in prosecuting the motion. Schnatter moves the Court to apply a reduction of 102 hours for time unreasonably spent in doing so. (DN 199 at 3942.) The Court agrees that a reduction is warranted. Although "multiple representation can be productive[,]" there is also "the danger of duplication, a waste of resources which is difficult to measure." *Howe v. City of Akron*, No. 5:06-CV-2779, 2016 WL 916701, at *10 (N.D. Ohio Mar. 10, 2016) (quoting *Coulter v. State of Tenn.*, 805 F.2d 146, 152 (6th Cir. 1986)). Here, considering the lengths of the Motion and Reply, it appears that Defendants' counsel billed approximately three hours per page writing the two documents. Not only is this amount excessive for the task at hand, but the overlaps in time expended by multiple attorneys is indicative of inefficient or duplicative work. Abate spent six hours drafting the Motion between October 11 and 14, 2021. (DN 195-1 at 3930.) A few days later, on October 18, 2021, Abate and Stinson spent another 15.6 hours drafting the same, although they worked on different sections. (*Id.*) The time was not unreasonable at this point. In *Nichols*, the court awarded fees for 20 hours spent researching and briefing a motion for sanctions. *Nichols v. Dwyer*, No. 18-14041, 2021 WL 3260941, at *2 (E.D. Mich. July 30, 2021) (explaining that 20 hours were not unreasonable because "sanctions principles are not as easily researched, analyzed, and briefed" and cover "more nuanced principles and application regarding more debatable propositions like the reasonableness of hours and rates"); *see also Bisig v. Time Warner Cable, Inc.*, No. 3:14-CV-36-DJH, 2018 WL 11474559, at *3 (W.D. Ky. Jan. 30, 2018) (awarding fees for 16.8 hours spent on motion for sanctions and 17.3 hours to draft reply in support of motion); *Marshall v. Rawlings Co., LLC*, No. 3:14-CV-359-TBR, 2018 WL 3028574, at *9 (W.D. Ky. June 18, 2018) (awarding fees for 3.9 hours on a motion for sanctions). Twenty hours is a reasonable starting point where, as here, there are 21 attachments, a complicated factual background, and a motion for leave to seal to file simultaneously. However, we cross into the excessive on October 19, 2021, when at least five attorneys worked on the Motion: Somers (3.00), Cambeiro (1.00), Srinivasan (4.00), Stinson (1.9), and Abate (2.50). (*Id.* at 3930-31; 195 at 3923-25.) Only Srinivasan drafted the motion. (*Id.*) Somers, Cambeiro, and Abate revised while Stinson researched applicable sanctions. (*Id.*) Abate drafted the factual background and Stinson was researching case law, which is sufficient detail to justify the time. (*Id.*) But there is no indication what Srinivasan, Cambeiro, and Somers were drafting or revising to determine whether that time was reasonably spent. On the following day, three attorneys worked on the Motion: Somers (3.5), Srinivasan (2.00) and Stinson (0.6). (*Id.*) Srinivasan drafted, Somers revised, and Stinson prepared the exhibits from his end that would be later merged with those from KBK on date of filing. (*Id.*) A trend

A
000010 of 000012

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

Filed

starts to develop across the invoices where an associate drafts and then a partner revises for almost as much time as the associate spent writing. As explained in *Nichols*, an associate can be expected to perform the full amount of research and 75% of the drafting whereas a partner would be expected to perform 25% of the writing. *Id.*; *see also Servpro Intell. Prop., Inc. v. Blanton*, No. 3:18-CV-121-RGJ-CHL, 2020 WL 13548024, at *3 (W.D. Ky. Feb. 24, 2020) (awarding 43.6 hours to an associate and 11.2 hours to a partner as reasonable time spent on a motion for sanctions). Although the 75%/25% rubric is at most a rule of thumb, the ratio of associate time to partner time is unquestionably out of balance in the subject invoices.

This trend continues with the Reply filed on December 8, 2021. (*See* DN 171.) On the day before filing, Srinivasan spent five hours researching the Reply at the eleventh hour while Somers spent 10.9 hours revising it for a total of 16.9 hours in a single day. (DN 195 at 3924.) Cambeiro also billed one hour for a meeting between herself, Somers, and Srinivasan, which is mentioned vaguely in the latter's block billing. (*Id.* at 3923-25.) The resulting total is an unreasonable amount of time for a fifteen-page Reply to a Motion that was already extensively researched. On the next day, Srinivasan followed with another 5.3 hours drafting the Reply while Cambeiro spent 2.2 revising. (*Id.*) Srinivasan's hours on these two days are especially notable because she had already spent 15.2 hours researching and drafting the Reply in the week prior. (*Id.*) Somers then billed 6.4 hours alongside Srinivasan's 5.3 and Cambeiro's 2.2 to finalize what he, Srinivasan, and Cambeiro had already spent 45 hours researching, drafting and discussing between November 29, 2021 and December 7, 2021. (*Id.* at 3924.) Their work was then reviewed and revised by both Deixler (0.3) and Abate (1.1), coming out to 15.3 hours spent on the same day the Reply was filed. (*Id.*; 195-1 at 3931.)

KBK records are distinguishable from Kaplan's in that they lack meaningful specificity of the task performed. Multiple attorneys describe billing for an identical task, *e.g.*, revising and drafting, at the same time without differentiation while also referencing communications related to those tasks without specifying with whom the communication is taking place or for how long. The Sixth Circuit has not forbidden the practice of block billing, but attorneys who engage in block billing do so at their own risk. *Howe*, 592 F.App'x at 371. In contrast, Kaplan's records largely avoid the risk of excessive hours by detailing each task with enough specificity to demonstrate the necessity of the time spent. Further, while it appears KBK attempted a good faith effort to exclude unnecessary hours, a reduction in Srinivasan's and Cambeiro's time by 10 hours would have hardly put a dent in the more than a hundred hours spent on a motion for discovery sanctions, especially given that KBK's billing descriptions generally are inadequate to justify such an expenditure. Likewise, although Kaplan's billing is more detailed, it was not reasonable for a partner to spend as much time writing a motion as an associate spent writing it and bill the entirety with no reduction at all under the circumstances. "In the private sector, 'billing judgment' is an important component in fee setting[,]" and "[h]ours that are not properly billed to one's client are also not properly billed to one's adversary[.]" *Id.* Therefore, the Court finds that 198.3 hours was not reasonably spent and, as such, KBK's fees will be reduced by 33% and Kaplan's fees will be reduced by 10%. *Hisel v. City of Clarksville*, No. 3:04-0924, 2007 WL 2822031, at *4 (M.D. Tenn. Sept. 26, 2007) ("A percentage reduction is appropriate where the record suggests that counsel did not write off time that was excessive or unproductive"); *see also Hudson v. Reno*, 130 F.3d 1193, 1208 (6th Cir. 1997) (where the trial court determines that hours are excessive or duplicative, it may make a simple across-the-board reduction by a certain percentage).

c. Fee Calculation

***5** Applying the reasonable hourly rates determined previously, the fees per attorney are as follows: $467.50 for Deixler, $19,167.50 for Somers, $12,675 for Srinivasan, and $8,675 for Cambeiro after accounting for the 0.5 hours billed to zero on April 28, 2021. (*Id.* at 3923.) Because Abate and Stinson's hourly rates were not reduced, the fees amount to $40,985 to KBK and $22,287 to Kaplan for a combined total of 198.3 hours. An additional 33% reduction to KBK and an additional 10% reduction to Kaplan for excessive and duplicative billing results in final awards of $27,459.95 to KBK and $20,058.30 to Kaplan.

IV. ORDER

For the reasons stated above,

IT IS HEREBY ORDERED that Defendants shall be awarded **$47,518.25** in attorneys' fees incurred in pursuing this matter.

000011 of 000012

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals

Filed

All Citations

Slip Copy, 2024 WL 3165319

Footnotes

1 Defendants' affidavit also proposes reasonable attorneys' fees for Kaplan attorneys Michael Abate and Chuck Stinson that are not shown here. (*See* DN 195 at 3922.)

2 Cambeiro and Srinivasan billed at hourly rates of $490 and $485 per hour respectively in 2020, during which Cambeiro billed 0.3 total hours and Srinivasan billed 4.2 hours. The remaining 34.9 hours billed by Cambeiro, and 46.5 hours billed by Srinivasan were in 2021 and at increased rate of $500 per hour commensurate to the increase in year of experience. Given that the majority of hours were billed in 2021, this table incorporates data from only 2021.

End of Document

© 2024 Thomson Reuters. No claim to original U.S. Government Works.

000012 of 000012

2410/2/2024 Lue R. Morgan, Clerk, Kentucky Court of Appeals